The world in brief

Catch up quickly on the global stories that matter

Photograph: AFP

Iran's top negotiator, Mohammad Bagher Ghalibaf, said reopening the Strait of Hormuz was "not possible" while America maintains a naval blockade. Iran attacked at least three ships in the strait, a day after **Donald Trump** said he would extend a ceasefire until peace talks are concluded. Iran's navy said it had detained two vessels for "endangering maritime security".

Reuters reported that American forces had intercepted at least three **Iranian-flagged tankers** near India, Malaysia and Sri Lanka. One was reportedly a supertanker laden with 2m barrels of crude oil. Meanwhile, Pete Hegseth, America's self-styled secretary of war, fired his navy secretary, John Phelan, with immediate effect. He appears to be the latest casualty in Mr Hegseth's rolling purge of America's military leadership.

A fragile ceasefire in **Lebanon** came under further strain. Israeli strikes killed at least four people in southern Lebanon on Wednesday, according to state media. Hizbullah said it launched a drone at Israeli forces. The clashes come a day before Israeli and Lebanese diplomats meet for a second round of talks in Washington, where Lebanon will push to extend the American-brokered truce due to expire on Sunday.

Tesla's shares rose by about 4% after the electric-vehicle maker reported first-quarter profit of $477m, up by about 17% from a year earlier. However, profits missed expectations and remain far below 2022 levels. Car sales disappointed as competition intensified. The company is shifting its focus to self-driving taxis and humanoid robots, which are yet to generate meaningful revenue.

Microsoft said it would spend A$25bn ($18bn) in Australia by 2029 to build digital infrastructure, including data centres. The tech giant also vowed to work with Australia to strengthen its cyber-security defences and help train some of its workforce. Microsoft has announced similar investments in Japan, Singapore and Thailand as it competes with its rivals in the AI race.

Switzerland unveiled banking reforms that would require UBS, the country's biggest lender, to add roughly $20bn to its capital buffers. The proposals, triggered by the collapse of Credit Suisse, a rival that UBS rescued, mandate full capital backing for UBS's foreign operations. UBS called the reforms "extreme" and warned they would have "far-reaching consequences" for the Swiss economy.

Sony has built an **AI-powered robot** that can compete against and even defeat elite **table-tennis** players. Ace was trained using a combination of computer simulations and analyses of expert players. Though it won three out of five matches against skilled amateurs, it lost the two contests against the professionals. But the researcher heading the project batted away the setback, saying Ace is getting "stronger and stronger".

Figure of the day: 95%, the chances of the Democrats flipping the House of Representatives. Explore our midterms forecaster.

Photograph: Getty Images

How long can the Iran ceasefire last?

It is becoming a familiar scene: a ticking clock, a threat of catastrophic war, a diplomatic scramble—and then, a last-minute reprieve. On Tuesday Donald Trump extended the ceasefire with Iran indefinitely, retreating again from his threats to bomb its power plants.

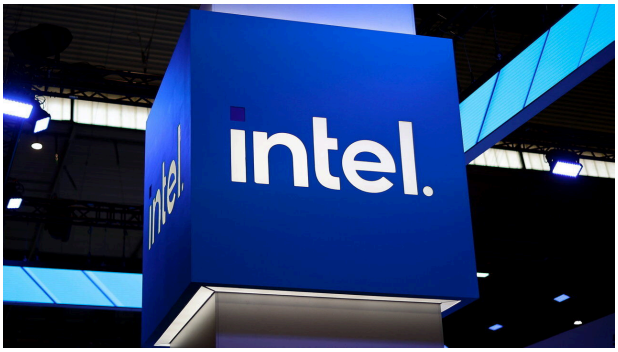
Both sides believe they have the upper hand. Mr Trump maintains his naval blockade is crushing cash-strapped Iran. Iran will probably have to start cutting oil production within days as storage fills; a prolonged closure of its ports will also drive up prices of food and other essentials. But Iran's regime believes that its own maritime stranglehold can force America to desist. Oil markets were unimpressed with the extended truce: the price of Brent crude stuck around $100 a barrel. Mr Trump needs the strait open before high petrol prices sink the Republicans' prospects in November's midterm elections. Both sides fear a resumption in fighting. Yet while each believes it is winning, neither wants to come to the negotiating table.

Photograph: Getty Images

The Indian art of wooing women

For a long time the female voter was an afterthought in Indian politics. Now, when electoral turnout among women often exceeds that of men, politicians have started to see them as a powerful voting bloc. In West Bengal and Tamil Nadu, which hold elections on Thursday, strategists are betting that cash is the way to get their support.

In West Bengal the chief minister, Mamata Banerjee, is campaigning on the popularity of her flagship cash-transfer scheme for women. Tamil Nadu's chief minister, M.K. Stalin, has promised that if he's re-elected he will double the state's cash benefit to women to around $20 per month. These are examples of a striking trend: at least 16 of India's 28 states run schemes that pay women cash—up from just a handful in 2022. Around half of these states run revenue deficits; such payments add to the strain. Women voters are now impossible to ignore. They are also expensive to please.



Photograph: Reuters

Is Intel back?

Few people expect Intel's first-quarter results, which will be reported on Thursday, to be spectacular. Analysts expect America's troubled semiconductor giant to report a 1.9% decrease in revenue year on year, to $12.4bn. Yet its share price has risen by more than 250% over the past year—far exceeding the rise in the tech-heavy NASDAQ index.

Recent deals have lifted investors' confidence. In August last year the American government took a 10% stake. Then Nvidia, the world's largest chip designer, invested $5bn. Intel also announced it was partnering with Elon Musk, a tech mogul, to build a semiconductor factory in Texas, although details are scarce.

The demand for CPUs, a type of chip that Intel produces in large quantities, is expected to rise considerably as artificial-intelligence models handle increasingly complex tasks—so-called "agentic AI". Morgan Stanley, an investment bank, estimates that this could add around $45bn to the annual value of the market by 2030.

Good Intel

Intel, share price, $

Source: S&P Capital IQ

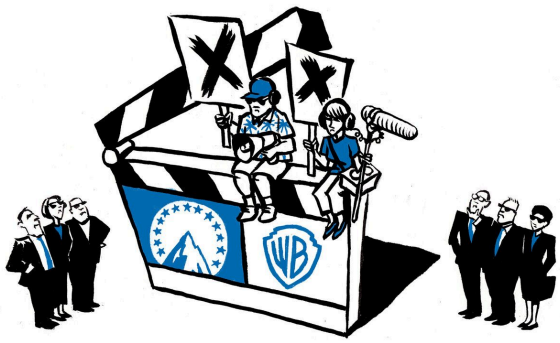


Illustration: David Simonds

Paramount importance

On Thursday Warner Bros Discovery's shareholders are expected to approve the company's takeover by Paramount, a much smaller Hollywood rival controlled by the Ellisons, who made their fortune in tech. Meanwhile, others are plotting to derail the $111bn deal. Earlier this month more than 1,400 actors and filmmakers signed a letter arguing that it would "consolidate an already concentrated media landscape". The acquisition is likely to face legal challenges on antitrust grounds.

But "WarnerMount" has a decent defence. Combining the two century-old studios is bound to result in job losses, and may lead to fewer productions (the Ellisons have promised to ramp up film-making but they will need to slash costs to pay down debt from the highly leveraged takeover). Yet at the moment, Warner is struggling to compete with streaming giants such as Netflix, Disney and Amazon. Paramount, smaller still, is probably doomed without a partner. Merging Hollywood's old studios may be better for competition than letting them wither.

Photograph:

Data bite: Corporate America shrugs off global tumult

Despite the shock of Donald Trump's trade war, and now a real one in the Gulf, earnings expectations for American firms are through the roof. Aggregate earnings for the S&P 500 rose by an estimated 19% in the first quarter, year on year. Projections for earnings growth for the next 12 months are 24% higher than a year ago. That would beat even the profit bonanza that followed the corporate-tax cuts of Mr Trump's first term. AI is driving some of the windfall. But even outside big tech, earnings are set to increase by 16% in 2026—a testament to American innovation, especially in AI and pharmaceuticals, which remains the envy of the world.

In sickness and in health...

S&P 500

1 WHO declares covid-19 a pandemic

2 Russia invades Ukraine

3 Trump's "Liberation Day" **4** US attacks Iran

Source: LSEG Workspace

Illustration: Sandra Navarro

Daily quiz

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 BST on Friday to . We'll pick three winners at random and crown them on Saturday.

Thursday: Which Malaysian state is bordered by Negeri Sembilan to the north and Johor to the east?

Wednesday: Which Portuguese explorer was the first European to cross the Pacific?

Language is the main instrument of man's refusal to accept the world as it is.

George Steiner